

Annex XVI

Guidelines for Entry of NBFCs into Insurance

1. NBFCs registered with the Reserve Bank shall undertake insurance agency business on fee basis and without risk participation, without the approval of the Reserve Bank, only subject to the following conditions:

(i) The NBFCs shall obtain requisite permission from IRDA and comply with the IRDA regulations for acting as 'composite corporate agent' with insurance companies.

(ii) The NBFCs shall not adopt any restrictive practice of forcing its customers to go in only for a particular insurance company in respect of assets financed by the NBFC. The customers shall be allowed to exercise their own choice.

(iii) As the participation by an NBFC's customer in insurance products is purely on a voluntary basis, it shall be stated in all publicity material distributed by the NBFC in a prominent way. There shall be no 'linkage' either direct or indirect between the provision of financial services offered by the NBFC to its customers and use of the insurance products.

(iv) The premium shall be paid by the insured directly to the insurance company without routing through the NBFC.

(v) The risks, if any, involved in insurance agency shall not get transferred to the business of the NBFC.

2. No NBFC shall be allowed to conduct such business departmentally. A subsidiary or company in the same group of an NBFC or of another NBFC engaged in the business of a non-banking financial institution or banking business shall not normally be allowed to join the insurance company on risk participation basis.

3. All NBFCs registered with the Reserve Bank which satisfy the eligibility criteria given below shall be permitted to set up a joint venture company for undertaking insurance business with risk participation subject to safeguards. The maximum equity contribution such an NBFC can hold in the joint venture company shall normally be 50 percent of the paid-up capital of the insurance company. On a selective basis, the Reserve Bank may permit a higher equity contribution by a promoter NBFC initially, pending divestment of equity within the prescribed period [see Note (1) below].

In case more than one company (irrespective of doing financial activity or not) in the same group of the NBFC wishes to take a stake in the insurance company, the contribution by all companies in the same group shall be counted for the limit of 50 percent prescribed for the NBFC in an insurance JV.

In cases where IRDA issues calls for capital infusion into the Insurance JV company, the Reserve Bank may, on a case-to-case basis, consider need based relaxation of the 50 percent group limit as specified. The relaxation, if permitted, shall be subject to compliance by the NBFC with all regulatory conditions as prescribed in these Directions and such other conditions as may be necessary in the specific case. Application for such relaxation along with supporting documents shall be submitted by the NBFC to the Regional Office of Department of Supervision of the Reserve Bank under whose jurisdiction its registered office is situated.

The eligibility criteria for joint venture participant shall be as stated below:

- (i) The owned fund of the NBFC shall not be less than ₹500 crore,
- (ii) The CRAR of the NBFC shall be not less than 15 percent.
- (iii) The level of net non-performing assets shall be not more than 5 percent of the total outstanding leased/hire purchase assets and advances taken together,
- (iv) The NBFC shall have net profit for the last three continuous years,
- (v) The track record of the performance of the subsidiaries, if any, of the concerned NBFC shall be satisfactory,
- (vi) Regulatory compliance and servicing of public deposits, if held.

The provisions of the RBI Act, 1934 shall be applicable for such investments while computing NOF of the NBFC.

4. In case where a foreign partner contributes 26 percent of the equity with the approval of IRDA/Foreign Investment Promotion Board, more than one NBFC may be allowed to participate in the equity of the insurance joint venture. As such participants will also assume insurance risk, only those NBFCs which satisfy the criteria given in paragraph 3 above, shall be eligible.

5. NBFCs registered with the Reserve Bank which are not eligible as joint venture participant, as above can make investments up to 10 percent of the owned fund of the

NBFC or ₹50 crore, whichever is lower, in the insurance company. Such participation shall be treated as an investment and shall be without any contingent liability for the NBFC. The eligibility criteria for these NBFCs shall be as under:

- (i) The CRAR of the NBFCs shall not be less than 15 percent;
- (ii) The level of net NPA shall be not more than 5 percent of total outstanding leased/hire purchase assets and advances;
- (iii) The NBFC shall have net profit for the last three continuous years.

Notes:

- (1) Holding of equity by a promoter NBFC in an insurance company or participation in any form in insurance business shall be subject to compliance with any rules and regulations laid down by the IRDA/Central Government. This will include compliance with section 6AA of the Insurance Act as amended by the IRDA Act, 1999, for divestment of equity in excess of 26 percent of the paid-up capital within a prescribed period of time.
- (2) The eligibility criteria shall be reckoned with reference to the latest available audited balance sheet for the previous year.